

in coordination with the Board Advisory Council consisting of former Infosys CFO T.V. Mohandas Pai and former State Bank of India chairman Rajnish Kumar.

Byju's is still waiting for a response from TLB lenders on its repayment proposal. It is in advanced discussions to sell its US-based subsidiary Epic. The proceeds from this sale will be used to repay a part of the term loan. Meanwhile, the company has called for a crucial board meeting during the second week of October to seek approval and adoption of its results for FY22. The long-pending results are likely to be published before October 15.

16 | “While financial statements depict the past, they're instrumental in guiding future strategies. Byju's delayed financial reporting is more than just a missed deadline; it's reflective of deeper operational issues. To

BYJU'S HAS CALLED FOR A MEETING OF ITS BOARD THIS MONTH TO APPROVE ITS FY22 RESULTS

regain trust and ensure proper navigation, they must not only rectify this delay but also overhaul their internal processes,” says Anirudh A. Damani, Managing Partner of venture capital fund Artha Venture Fund.

As the company embarks on this painful journey and strives to break even operationally by this fiscal end, the transformation of its inner workings and external image could serve as a lifeline. **BT**

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CORPORATE

Divvying Up Trouble

After its split, the focus will shift to how the Vedanta group can deleverage its balance sheet

BY KRISHNA GOPALAN

► **BURDENED BY DEBT**, Anil Agarwal-led Vedanta Limited's decision to split into six different entities has not been entirely unexpected. With repayments of around \$1.4 billion due in the next six months, and another \$3.5 billion—a combination of bank debt, inter corporate deposits and bonds—due in FY25, the move speaks of the depth of challenges at the conglomerate with a market capitalisation of around \$10 billion.

The five new firms—Vedanta Aluminium, Vedanta Power, Vedanta Base Metals, Vedanta Oil & Gas and Vedanta Steel & Ferrous—are expected to be listed by FY25, while Vedanta Ltd already trades on the bourses. The decision has not gone down too well with those tracking the group. A report by Kotak Institutional Equities has termed the vertical split “six steps backward”, adding that the move would reduce the fungibility of cash flows across its businesses. “[It will] increase earnings volatility, which could be a concern for lenders,” the report adds.

Emphasising the parent firm Vedanta Resources' high leverage and funding gap for upcoming bond maturities as a key overhang for Vedanta Ltd, the report suggests that the divestment of non-core businesses would have been a

more suitable option for the group. “The demerger, by itself, is unlikely to unlock any value,” it states. Each Vedanta shareholder will receive one share in each of the six listed entities after the demerger.

The company's management has said it would take about 12 to 15 months to complete the demerger and listing of each of the entities, with approvals required from shareholders, lenders, and regulators. The Kotak report also points out that getting the lenders' approval would be challenging “given the elevated debt levels”. Vedanta had merged its listed entities such as Sesa Goa and Sterlite in 2012, followed by Sesa-Sterlite and Cairn India in 2017. In that backdrop, the report also questions this decision to unlock value as it flies in the face of past corporate actions. “Ideally, Vedanta should have always had a holding company and operating company structure. Putting all the businesses in one company was perhaps not a great idea,” says Deven R. Choksey, Chairman and MD of wealth management and investment advisory firm DR-Choksey Finserv.

In terms of numbers, two key businesses—zinc and oil & gas—bring in around half of the group's revenues, and contribute over 85 per cent of its Ebitda. Choksey says